Agonizing over Language

The policy documents, as I said before, remain work in progress for a couple of weeks up until the final print order. Typically, on the weekend before the policy review, a small group of us—the deputy governor and the executive director in charge of monetary policy, the head of the monetary policy department and I—would sit over an extended session, going through the policy statement in great detail, discussing every turn of phrase and nuance. Let me give an illustration of how we used to agonize over how every adjective and adverb might be interpreted.

In the mid-quarter review of September 2010, as part of the forward guidance, we had said: 'The Reserve Bank believes that the tightening that has been carried out over this period has taken the monetary situation *close* [emphasis mine] to normal.'

There were two communication dilemmas here. The first was whether we should say '*close to*' or '*closer to*'. After much deliberation, we determined that saying *closer to* had no additional information content; it would be restating the obvious. On the other hand, saying '*close to*' would convey that there was some, albeit a small, room for further rate action.

The second dilemma was about whether 'normal' would be interpreted as 'neutral'. This dilemma arose in the context of the question frequently asked of us as to 'whether the policy rate had become neutral'. As per textbook economics, the neutral policy rate is the policy rate consistent with potential growth and low and stable inflation. But we also know from textbook economics that it is not possible to precisely determine the neutral rate, especially for a rapidly growing and structurally transforming economy like that of India. On the other hand, the 'normal' rate is the sweet spot which balances demand and supply, and can be broadly inferred from the crest and trough of the policy rate over the growth-inflation cycle. Obviously, such an elaborate explanation in the statement would be out of place. Realizing though the importance of this message, I made an extra effort to communicate our intent in the post-policy dissemination exercise.